



CASE STUDY

AI in Sustainable Women's Clothing and Accessories Manufacturing and Supply Chain

Innovacio unified demand, inventory, supplier, and returns data into one AI dashboard for fashion planning, helping tackle a 1.6M-SKU stockout problem, reduce the £7B UK return cost burden, and address 750,000 tonnes of CO2 from discarded apparel.

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Problem

The client's sustainable women's clothing and accessories supply chain was difficult to manage because demand changed quickly with style trends, seasons, promotions, fit preferences, and channel behavior. A single product family could expand into many style-color-size combinations, which made forecasting, inventory planning, and replenishment much harder than in a simpler retail category.

Planning, sourcing, and operations data were spread across ERP, OMS, WMS, supplier records, returns data, and sustainability files, so teams could not see the full picture in one place. That created stockouts in the wrong sizes or colors, excess inventory in slow-moving items, and unnecessary markdown pressure. At the same time, supplier lead times, traceability requirements, and return volumes made it difficult to control margin while also meeting sustainability expectations.

How we solved it

Innovacio Technologies designed an AI-powered operating layer that connected demand, inventory, procurement, supplier, returns, and sustainability data into one live dashboard. This gave merchandising, sourcing, inventory, and leadership teams a single view of what to buy, where to place stock, and how to respond to risk earlier.

We implemented SKU- and channel-level demand forecasting so the team could plan collections, launches, and replenishment more accurately. We also added inventory optimization and stockout-risk scoring to flag weak items early, protect fast movers, and recommend better allocation across channels and locations.

To improve sourcing, we built supplier intelligence and traceability views that linked lead times, quality, and batch-level origin data so procurement could make better buying decisions and support responsible sourcing. We also added reverse-logistics intelligence to classify returns, identify repeat return patterns, and recommend recovery paths such as restock, repair, resale, or circular recovery.

The result was a more connected fashion supply chain where planning, sourcing, inventory, traceability, and returns were managed together, helping the business reduce waste, improve service levels, and support sustainability goals at the same time.



Executive summary

Sustainable women's clothing and accessories businesses operate in one of the most difficult supply-chain environments in retail. A single collection may span hundreds of style, color, and size combinations, while demand shifts quickly with season, social media, promotions, fit expectations, and trend velocity. At the same time, the brand must protect margin, control inventory, keep supplier compliance visible, and reduce the environmental footprint of returns and overproduction.

Innovacio's solution is to turn scattered planning, procurement, and warehouse data into one AI-enabled operating layer. The platform unifies SKU-level forecasting, supplier scorecards, inventory risk alerts, and sustainability dashboards so merchandising, sourcing, and operations teams can act from the same live picture. Instead of running planning in spreadsheets and reacting after stockouts, markdowns, or late inbound shipments, the team gets a decision system that highlights what to buy, when to reorder, which supplier to prioritize, and where excess stock should be rerouted or recovered.

The most important point is that the value is operational, not abstract. Research in fashion forecasting, stockout prediction, traceability, and reverse logistics supports the same pattern: when the data are integrated and the logic is visible, AI helps teams reduce waste, improve service levels, and support sustainability goals at the same time.

Why this industry is different

- The assortment is large and fragmented: a single product family can multiply into many style-color-size variants, each with different sell-through risk.
- Demand is unstable: fashion forecasting research describes the sector as highly uncertain because of short life cycles, seasonality, impulsive buying, and returns.
- Procurement is multi-layered: fabric, trims, packaging, manufacturing, and logistics all affect launch timing and margin.
- Traceability is not optional: brands increasingly need facility-level and process-level visibility to support sustainability reporting and responsible sourcing.
- Returns are expensive and carbon-intensive: apparel reverse logistics can create large economic losses and a meaningful environmental burden.

Area	What the business needs	What AI adds	Operational effect
Demand planning	Style-color-size forecasts, launch curves, seasonality	Hybrid forecasting and new-product demand prediction	Fewer stockouts and markdowns
Inventory	SKU-level visibility and reorder timing	Stockout-risk scoring and transfer recommendations	Less dead stock and fewer lost sales
Procurement	Supplier lead times, MOQ, delivery reliability	Supplier performance and delay prediction	Better buy timing and fewer expedites
Traceability	Facility, process, and emissions data	Digital passport and supplier scorecards	Cleaner sustainability reporting
Returns	Reason codes, fit data, route selection	Return-risk modeling and reverse logistics routing	Lower return cost and emissions

Seasonal demand forecasting for new collections



Business problem

A sustainable women's apparel and accessories brand has to commit inventory months before product launch, even though demand is still uncertain. One top-selling silhouette can be ruined by the wrong color mix, and a strong style can still underperform if size curves, price points, or launch timing are wrong. The result is a familiar retail pattern: too much inventory in slow movers, too little depth in winners, and margin damage from markdowns.

Data problem

The planning team was using historical sales, but the data were fragmented across ERP, e-commerce, POS, merchandising spreadsheets, and campaign calendars. The problem was compounded by new-product launches, where little or no prior sales history existed. Fashion forecasting research notes that the category is especially difficult because demand depends on highly variable explanatory factors, short product life cycles, product returns, and a large number of attributes.

AI solution

Innovacio built a forecasting engine inside a single planning dashboard. The model combined historical sell-through, item attributes, seasonality, promotion windows, web traffic, and launch-stage signals to produce SKU-level demand forecasts. For new items, the platform used censored-demand logic and transfer learning from similar styles so the team could estimate demand even when the product had no long sales history.

The dashboard did not stop at a forecast number. It showed confidence bands, best-case and worst-case scenarios, and a reorder suggestion that merchandising could approve or override. That made forecasting a decision workflow instead of a static report.

Why this matters

A systematic review of fashion forecasting research found 75 papers and confirmed that the field has shifted strongly toward AI, machine learning, and hybrid methods. A separate study validated a predictive model for new products using real data from a European fashion retailer and reported that an Expectation-Maximization approach showed the highest potential. For Innovacio, that translates into better launch quantities, fewer emergency transfers, and lower markdown exposure.

Metric	Research signal	Business meaning
Forecasting literature	75 fashion forecasting papers reviewed; focus on AI/ML/hybrid methods	AI is now core to fashion planning
New product forecasting	Validated on real European retailer data; EM algorithm showed highest potential	Launch planning can be estimated even without full history
Planning challenge	Fashion has short life cycles, product variety, and returns	Traditional planning tools are not enough

Inventory and stockout prevention across channels

Business problem

The brand was managing inventory across e-commerce, retail, and fulfillment nodes, but stockouts still appeared in the wrong colors and sizes while other SKUs sat unsold. This is one of the most expensive



patterns in fashion because unavailable winners create lost revenue, while excess stock later becomes margin-eroding markdown inventory.

Data problem

Inventory visibility existed, but it was not predictive. The organization needed a way to know which SKUs were likely to stock out, which were overstocked, and where inventory could be moved before the problem became visible in the financials. A recent machine-learning study using a retailer dataset of more than 1.6 million SKUs showed that classical ML methods can improve stockout prediction on large-scale, imbalanced data.

AI solution

Innovacio added a stockout-risk layer to the dashboard. The model scored each SKU by sell-through velocity, replenishment lead time, inbound reliability, and historical demand volatility. Planners could see which items needed immediate replenishment, which could be reallocated between channels, and which were at risk of becoming dead stock if new buys continued at the same pace.

The value came from making the inventory problem visible early enough to act. Rather than waiting for warehouse alerts or customer complaints, the team could rebalance inventory proactively and protect service levels while controlling cash.

Inventory KPI	Before AI	After Innovacio dashboard
Stockout visibility	Reactive and late	Risk-scored before shortage
Channel rebalancing	Manual and slow	Suggested by dashboard
Excess inventory	Detected after sell-through drops	Flagged during planning
Order timing	Based on fixed reorder points	Based on demand and lead-time risk

Supplier traceability and sustainable procurement

Business problem

Sustainable apparel brands need more than low prices. They need approved suppliers, consistent material quality, predictable lead times, and visibility into environmental and social impact. In a multi-tier apparel supply chain, the hardest question is often not what was purchased, but where it came from, what process it went through, and how the brand can defend that information in reporting or customer communication.

Data problem

The supply chain data needed for responsible sourcing were spread across vendor records, production orders, certifications, freight documents, and carbon reporting files. UNFCCC guidance for apparel and footwear emphasizes that brands need to identify the facility where products and materials were manufactured, identify which manufacturing processes took place there, and access facility-level emissions data to calculate Scope 3 emissions accurately.

AI solution



Innovacio created a supplier intelligence dashboard that merged procurement, compliance, and sustainability data into one view. Each supplier received a scorecard showing lead-time reliability, quality performance, on-time-in-full rates, certificate status, and traceability completeness. The same platform mapped batches to facilities and processes, so procurement could compare suppliers not only on cost but also on carbon visibility and risk.

This made sustainable sourcing operational. Instead of treating sustainability as a quarterly report, the sourcing team could see which suppliers were ready for replenishment, which were missing documentation, and where a substitution or dual-source strategy would reduce risk.

Traceability requirement	Why it matters	Innovacio response
Facility identification	Needed for emissions and origin visibility	Batch-to-facility mapping
Process visibility	Different processes create different impacts	Process-level supplier records
Energy and emissions data	Required for more accurate reporting	Sustainability scorecards
Supplier selection	Brands need transparent sourcing choices	Risk and impact ranking

Returns, reverse logistics, and circular recovery

Business problem

For women's clothing and accessories, returns are part of the economics of the business. Fit issues, style preference, and bracketing create high reverse-logistics volume. For a sustainable brand, the challenge is larger: every unnecessary return adds transportation, packaging, inspection, restocking, and possible disposal emissions.

Data problem

Returns data were available, but not organized for action. The business needed to know why items came back, which styles had the highest return probability, whether a returned item should be restocked, repaired, resold, or recycled, and how returns were affecting carbon and cost-to-serve.

AI solution

Innovacio built a reverse-logistics dashboard that classified returns by reason code, product family, and recovery path. It grouped high-return items for fit review, identified packaging or assortment issues that were driving avoidable returns, and recommended whether a return should be reshelfed, routed to



outlet, repaired, or sent to circular recovery. The same data also fed planning so future buys could reduce repeat return patterns.

This is where the sustainability story becomes concrete. The platform does not just move returns faster; it reduces the volume of unnecessary returns in the first place and gives operations a better recovery decision once a return arrives.

Measured evidence from the literature

A recent study on fashion e-commerce returns found that UK fashion returns cost an estimated £7 billion in 2022 and contributed 750,000 tonnes of CO2 from discarded apparel. The same work quantified the emissions burden of return flows and highlighted the importance of sustainable returns management. Another 2025 study found packaging emissions of roughly 1,100 to 1,750 tonnes annually per retailer and showed that decentralizing reverse logistics networks is an actionable way to reduce impact.

Reverse logistics metric	Research finding	Operational meaning
Return cost	£7 billion in the UK in 2022	High financial leakage
Carbon impact	750,000 tonnes of CO2 from discarded apparel	Returns affect sustainability directly
Packaging emissions	About 1,100-1,750 tonnes annually per retailer	Packaging choices matter
Network design	Decentralized returns can reduce long-distance return emissions	Better routing lowers impact

What Innovacio built

Layer	Core components	What the team sees
Frontend	Role-based dashboards for merchandising, sourcing, inventory, and sustainability	One live operating picture
Data layer	ERP, OMS, WMS, PIM, supplier records, returns data, freight data	Clean integrated data
AI layer	Forecasting, stockout risk, supplier scoring, return classification	Actionable recommendations
Workflow layer	Alerts, approvals, exception handling, transfer suggestions	Work moves forward faster
Governance layer	Audit trail, supplier traceability, model monitoring	Compliance and accountability

Recommended implementation details

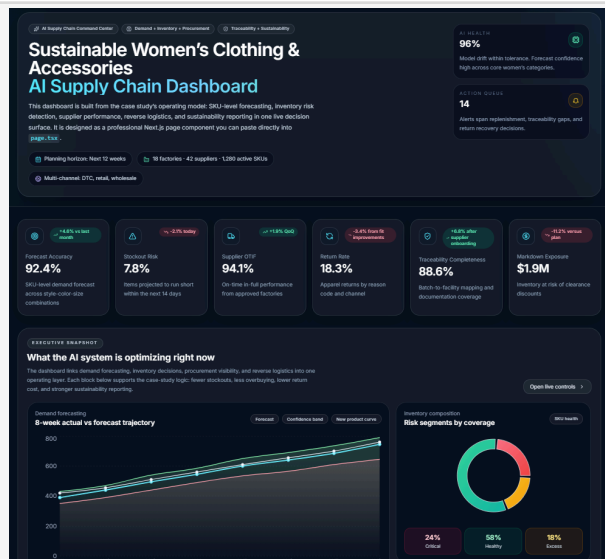
- Start with the highest-value categories first: dresses, tops, activewear, bags, and accessories with high return or markdown risk.
- Link sell-through, returns, and supplier lead times in one model before trying to automate replenishment.

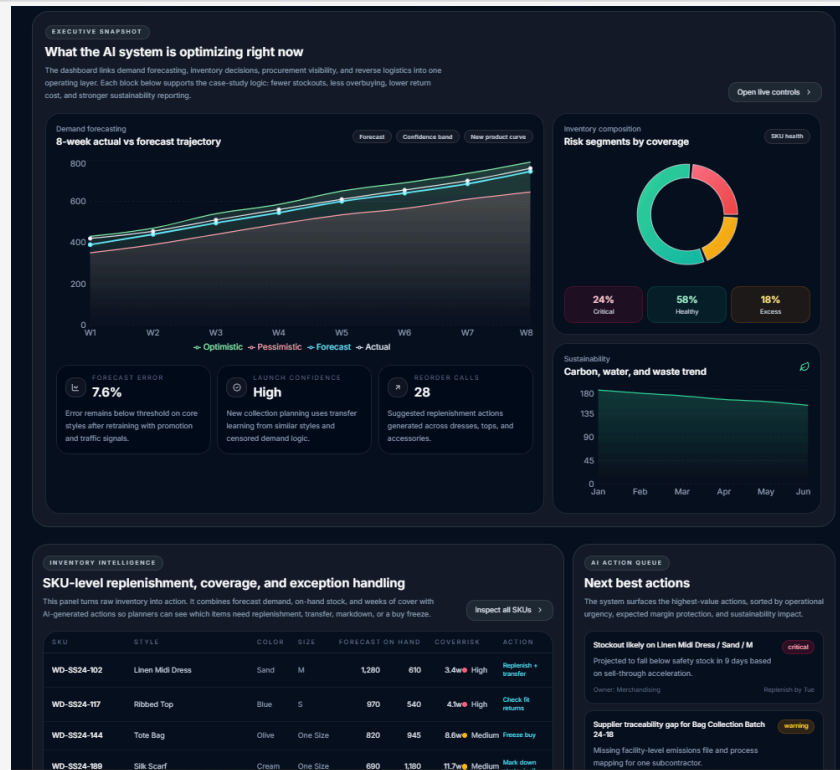


- Track a small number of KPIs first: stockout rate, sell-through, markdown rate, return rate, supplier on-time delivery, and traceability completeness.
- Treat sustainability as an operational data problem, not just a reporting problem.
- Keep planners and sourcing managers in the loop with exception handling and clear approval paths.

Screenshots

Insert dashboard images or captures in the four sections below:





INVENTORY INTELLIGENCE

SKU-level replenishment, coverage, and exception handling

This panel turns raw inventory into action. It combines forecast demand, on-hand stock, and weeks of cover with AI-generated actions so planners can see which items need replenishment, transfer, markdown, or a buy freeze.

[Inspect all SKUs](#)

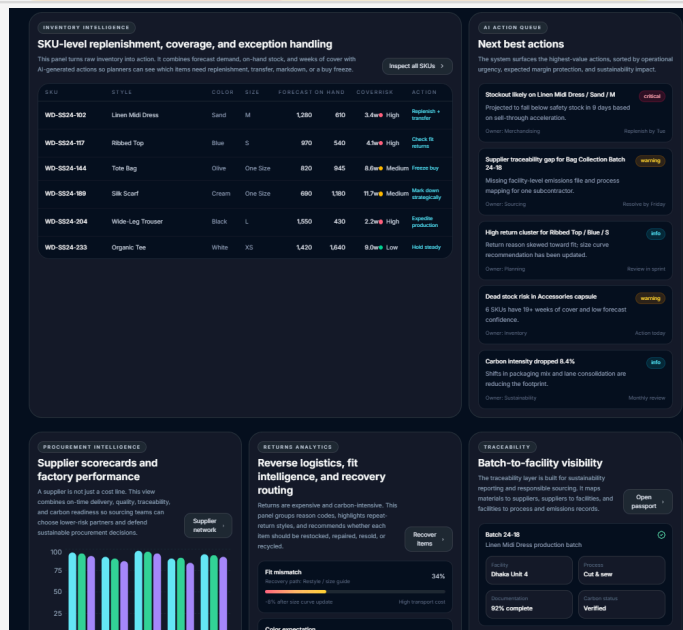
SKU	STYLE	COLOR	SIZE	FORECAST ON HAND	COVER	RISK	ACTION
WD-S224-102	Linon Mid Dress	Sand	M	1,280	610	3.4w High	Replenish + transfer
WD-S224-117	Ribbed Top	Blue	S	870	540	4.3w High	Check fit return
WD-S224-144	Tote Bag	Olive	One Size	820	945	8.6w Medium	Process buy
WD-S224-189	Silk Scarf	Cream	One Size	690	1,180	11.7w Medium	Mark down irregularly

AI ACTION QUEUE

Next best actions

The system surfaces the highest-value actions, sorted by operational urgency, expected margin protection, and sustainability impact.

- Stockout likely on Linon Mid Dress / Sand / M** critical
Projected to fall below safety stock in 9 days based on sell-through acceleration.
Owner: Merchandising Replenish by Tue
- Supplier traceability gap for Bag Collection Batch 24-18** warning
Missing facility-level emissions file and process mapping for one subcontractor.
Owner: Sourcing Resolve by Friday
- High return cluster for Ribbed Top / Blue / S** info
Return reason skewed toward fit. Size curve recommendation has been updated.
Owner: Planning Review by Monday
- Dead stock risk in Accessories capsule** warning
6 SKUs have low weeks of cover and low forecast confidence.
Owner: Inventory Action today
- Carbon intensity dropped 8.4%** info
Shift in packaging mix and raw consolidation are reducing the footprint.
Owner: Sustainability Monitor weekly



PROCUREMENT INTELLIGENCE

Supplier scorecards and factory performance

A supplier is not just a cost line. This view combines on-time delivery, quality, traceability, and carbon readiness so sourcing teams can choose lower-risk partners and defend sustainable procurement decisions.

[Supplier network](#)



RETURNS ANALYTICS

Reverse logistics, fit intelligence, and recovery routing

Returns are expensive and carbon intensive. This panel groups reason codes, highlights repeat return styles, and recommends whether each item should be restocked, repaired, resold, or recycled.

[Recover items](#)

Fit mismatch 34%
8% after size curve update High-impact cost

Color expectation

TRACEABILITY

Batch-to-facility visibility

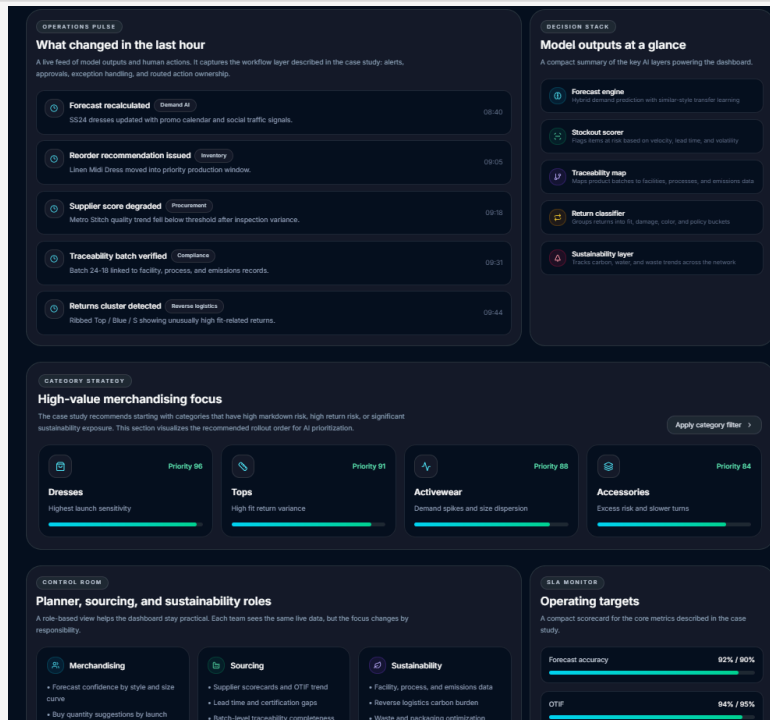
The traceability layer is built for sustainability reporting and responsible sourcing. It maps materials to suppliers, suppliers to facilities, and facilities to processes and emissions records.

[Open passport](#)

Batch 24-18
Linon Mid Dress production batch

Facility: **Chaska Unit 4** Process: **Cut & sew**

Compliance: **82% complete** Status: **Verified**



Final takeaway

Sustainable women's clothing and accessories is a strong AI-in-supply-chain use case because the business has too many moving parts for spreadsheets alone. The real work is not only forecasting demand; it is connecting demand, inventory, suppliers, traceability, and returns into one system that helps people act earlier and with better evidence.

Innovacio's approach makes the supply chain more practical: fewer blind spots, faster replenishment decisions, more reliable suppliers, and a clearer sustainability story. In a category where style, fit, and timing drive everything, that combination is what turns AI from a technology feature into an operating advantage.

Research references used for the case study

- Swaminathan et al. (2024). Demand forecasting for fashion products: A systematic review. Reviews 75 fashion forecasting papers and emphasizes AI/ML/hybrid methods.
- Sousa et al. (2025). Predicting demand for new products in fashion retailing using censored data. Validated on real data from a European fashion retailer.
- Liu et al. (2025). A machine learning approach to inventory stockout prediction. Uses a retailer dataset with over 1.6 million SKUs.
- Alves et al. (2023/2024). A Traceability Platform for Monitoring Environmental and Social Sustainability in the Textile and Clothing Value Chain. Proposes a blockchain-based digital passport approach.



- UNFCCC / Fashion Industry guidance (2024). Apparel and footwear emissions guidance describing facility and process-level data needed for Scope 3 calculations.
- Marriott et al. (2025). The billion-pound question in fashion e-commerce: Investigating the anatomy of returns. Finds £7 billion in UK return cost and 750,000 tonnes of CO2 from discarded apparel.

Appendix:

KPI	Why it matters	Evidence source
Forecast error	Shows whether new collections were planned accurately	Forecast model output
Sell-through	Measures how quickly assortment turns into revenue	Merchandising and POS data
Markdown rate	Captures margin erosion from overbuying	Pricing and inventory systems
Stockout incidence	Shows service loss on key sizes and colors	Warehouse and channel logs
Supplier OTIF	Checks supplier reliability	PO and inbound records
Traceability completeness	Shows whether batches can be followed end-to-end	Supplier and compliance records

